EXECUTIVE SUMMARY

1. Introduction

The Municipality of Solana was founded on August 18, 1952 and named after then Governor Antonio Urbiztondo Marquez dela Solana. It is a first-class municipality covering an area of 277.22 square kilometers with 38 barangays and with about 87,606 inhabitants. The Municipality is surrounded by the following: on the east by the magical Cagayan River, bounded on the north by the Municipality of Amulung, on the south by the Municipality of Enrile, on the southwest by the Province of Kalinga and on the northwest by the Municipalities of Piat and Tuao.

The audit covered the accounts and operations of the Municipality for the year 2024 and was aimed at determining whether management presented fairly its financial statements in adherence with generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

The Audit Team performed post-audit of disbursements and examination of cash and accounts of accountable officers, conducted interviews and walkthroughs, reviewed and analyzed financial statements and related accounting records, reviewed the implementation of programs and projects and performed other audit procedures as deemed necessary.

2. Scope and Objectives of Audit

The scope of the audit covers the period ending December 31, 2024.

The objective of the audit is to determine whether the resources of the Municipality have been managed, expended or utilized in accordance with existing laws, rules and regulations, and safeguarded against loss or wastage through illegal or improper disposition, with a view to ensuring efficiency, economy and effectiveness in the operations of government. The audit also aims to allow the Audit Team to render an opinion on the fairness of the financial statements of the Municipality.

3. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality for the year ended December 31, 2024, with comparative figures for CY 2023, are as follows:

Accounts	2024	2023	Increase/ (Decrease)
Assets	₱1,159,443,854.72	₱1,144,435,970.03	₱15,007,884.69
Liabilities	289,706,710.96	277,437,683.91	12,269,027.05
Government Equity	869,737,143.76	866,998,286.12	2,738,857.64

Accounts	2024	2023	Increase/ (Decrease)
Income	380,075,107.05	394,009,863.22	(13,934,756.17)
Expense	368,983,685.62	343,695,824.03	25,287,861.59
Appropriation	423,057,604.16	360,100,524.55	62,957,079.61
Obligation	387,377,687.34	343,019,821.99	44,357,865.35

4. Operational Highlights

The following major programs, projects and activities charged under the different sources of funds of the Municipality were completed in CY 2024:

Project/Program/Activity Name	Location	Total Cost Incurred
Installation of Street Lightings (additional)	Ubong-Cadaanan	₱592,134.69
Installation of Water System	Lannig	960,564.94
Construction of Multi-purpose Building	Masin Iraga	3,395,437.35
Rehabilitation of Road	Centro Northwest	4,211,882.49
Concreting of Road	Lingu	3,259,934.70
Establishment of Manpower Development Center Phase II	Sampaguita	9,372,470.72
Supply and Delivery of Various Drugs, Medicines, and vitamins	MHO	1,345,232.00
Supply and Delivery of Various Medical, Dental and Laboratory Supplies	MHO	1,244,919.00
Rehabilitation of Multi-purpose Building	Parug-Parug	1,352,644.62
Rehabilitation of Multi-purpose Building Phase 2 (completion)	General Balao	608,848.41
Construction of 1 Classroom Building at Bauan East Elementary School	Bauan Elementary School, Bauan East	733,415.35
Purchase of Mix Gravel for Stockpiling (Rehabilitation of Farm to Market Roads for distribution to different Barangays)	LGU	1,497,000.00
Installation of Early Warning System for Command Center (Purchase of Digital Electronic Siren with Early Warning System with Public Address in Preparation for Command center for DRRM Office)	MDRRMO	7,497,000.00
Supply and delivery of various medical, dental and laboratory supplies	MHO	1,269,800.00
Supply and delivery of various drugs, medicines and vitamins	MHO	1,346,976.00
Purchase of Service Vehicle	LGU	2,884,450.00
Concreting of road	Bauan West	1,939,723.72
Concreting of road	Iraga	4,991,311.74
Installation of Streetlight	Iraga	802,071.38
Rehabilitation of water system	Cattaran	552,746.25
Installation of street lightings at Parug-Parug	Parug-Parug	1,800,000.00

Project/Program/Activity Name	Location	Total Cost Incurred
Rehabilitation/Concreting of Road	Lannig	9,072,209.51
Construction of Multi-purpose Building Phase II	Sitio Masin, Iraga	1,827,562.17
Supply and delivery of various medical, dental and laboratory supplies	MHO	1,154,615.00
Supply and delivery of various drugs, medicines and vitamins	MHO	1,154,902.00
Rehabilitation/Concreting of Road	Bauan East	2,176,195.21
Rehabilitation of Farm to Market Road	Bangag	1,775,806.18
Rehabilitation of Concrete Pavement	Andarayan South	1,461,216.51
Purchase of Service Vehicle (with specialized body) for SATP	LGU	1,998,000.00
Construction of Slope Protection	Calilliauan	1,948,942.60
Supply and delivery of various medical, dental and laboratory supplies	MHO	826,840.00
Rehabilitation of Concrete Pavement	Carilucud	625,996.24
Rehabilitation/ Concreting of road	Dassun	3,589,312.65
Purchase of various ICT Equipment	Assessor's Office	607,505.00
Rehabilitation/ Concreting of road	Parug-Parug	2,108,643.43
Supply and delivery of various drug, medicines and vitamins	MHO	1,152,214.00
Provision of materials for low-cost housing units	Andarayan North and Iraga	1,996,353.90
Purchase of mix gravel for stockpiling (Rehabilitation of Farm to Market Roads for distribution to different barangays)	various barangay	997,000.00
Total		**₱86,131,877.76**

5. Independent Auditor's Report on the Financial Statements

The Auditor rendered an Unmodified Opinion on the presentation of the financial statements of the Municipality as of December 31, 2024.

6. Summary of Significant Findings and Recommendations

A. Deficiencies were noted in the bidding documents submitted for several projects totaling ₱89.841 million, contrary to Sections 6 and 17 of the 2016 Revised Implementing Rules and Regulations (IRR) of R.A. No. 9184, undermining the fundamental purpose of the standardized Philippine Bidding Documents (PBDs) prescribed by law.

We recommended that the Management, through the BAC, ensure transparency, fairness, and uniformity in the procurement process by adhering to the standardized PBDs, properly preparing the bidding documents, and following the general and specific directions of the PBDs to clearly and adequately define the objectives, scope, expected outputs/results of proposed contracts, and the eligibility requirements of bidders.

B. The Municipality did not strictly enforce the requirement for Department of Labor and Employment (DOLE)-approved Construction Safety and Health Programs (CSHP) for various infrastructure projects in CY 2024, resulting with: (a) delays in CSHP submission for projects totaling ₱12.044 million; and (b) inconsistencies between the actual project durations and those stated in the approved CSHPs for projects totaling ₱78.301 million.

We recommended the Management, through the BAC and other Municipality Offices, to ensure that all infrastructure projects undertaken by the Municipality are supported by duly approved CSHP in strict compliance with Section 5 of DOLE Department Order No. 13 series of 1998 and Section 37.2.3 (f) of the 2016 Revised IRR of RA No. 9184 in order to protect the interest of the Municipality.

C. As of December 31, 2024, an accumulated balance of ₱1.297 million in withholding taxes, mandatory deductions, and contributions arising from government obligations and disbursements had not been promptly remitted to the concerned agencies, contrary to the provisions of Section 69 of PD No. 1445 and other applicable laws, rules, and regulations, exposing the Municipality to the potential risk of penalties due to the delayed remittance.

We recommended that Management, through the offices concerned, ensure strict compliance with the withholding and remittance of taxes, mandatory government deductions and contributions by promptly remitting intact all withheld funds and contributions during the month to the appropriate government agencies by the ensuing month, in faithful compliance with Section 69 of PD No. 1445 and other applicable laws, rules, and regulations.

D. The Municipality was able to fully implement all 24 programs, projects, and activities (PPAs), with appropriations totaling ₱72.307 million funded out of the total available 20% Development Fund (DF) appropriations for CY 2024, including continuing appropriations, optimally utilizing the funds and achieving the desired socio-economic development and environmental outcomes of the Municipality in accordance with DBM-DOF-DILG Joint Memorandum Circular (JMC) No. 1 dated November 4, 2020, and DILG-DBM JMC No. 2017-1 dated February 22, 2017.

We commended Management for optimally utilizing the 20% DF and successfully implementing all planned PPAs, contributing to the achievement of the Municipality's desired socio-economic and environmental outcomes in compliance with DBM-DOF-DILG JMC No. 1, dated November 4, 2020, and DILG-DBM JMC No. 2017-1, dated February 22, 2017.

We nevertheless recommended that Management continue its efforts to ensure the timely implementation of PPAs for each budget year, and to make efficient use of the identified savings to fund other priority development projects.

E. The Municipality has demonstrated substantial utilization of its Local Disaster Risk Reduction and Management Fund (LDRRMF), having spent ₱22.904 million, or 79.75% of the total available fund of ₱28.721 million, underscoring its proactive approach in implementing PPAs to achieve the desired goals and objectives of reducing disaster risk and enhancing the LGU's disaster preparedness and response capabilities, in accordance with RA No. 10121.

We commended Management for the substantial utilization of the LDRRMF in accordance with RA No. 10121.

Nevertheless, we recommended that Management, through the Municipal Disaster Risk Reduction and Management Officer (MDRRMO), continue its efforts in ensuring that the PPAs for each budget year funded out of the 5% LDDRMF are well planned and procurement-and-implementation-ready to mitigate, if not totally prevent, delays in the implementation of projects.

F. The Liquidating Officer does not strictly observe the daily intact deposit of collections with the authorized depository bank, contrary to Section 2 of PD No. 1445 and Section 88(A), Book II of the LTOM, 2nd Edition, resulting in the accumulation of significant undeposited cash balances and exposing funds to risks of misappropriation, loss, and unauthorized use.

We recommended that Management, through the Municipal Treasurer, require the Liquidating Officer to strictly observe the daily deposit of collections with the authorized depository bank, in accordance with Section 2 of PD No. 1445 and Section 88 (A), Book II of the LTOM 2nd Edition to prevent the accumulation of significant balances of undeposited cash collections and strengthen safeguards over government funds.

7. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	₱17,378,943.64	₱0.00	₱0.00	₱17,378,943.64	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	₱17,378,943.64	₱0.00	₱0.00	₱17,378,943.64	0.00%
Disallowances					
Prior Years	₱225,248.36	₱0.00	₱0.00	₱225,248.36	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	₱225,248.36	₱0.00	₱0.00	₱225,248.36	0.00%
Charges					
Prior Years	0.00	0.00	0.00	0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	0.00	0.00	0.00	0.00	0.00%

8. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in the 2023 Annual Audit Report are summarized as follows:

Implemented	14
Not implemented	4
Not implemented and reiterated in CY 2024 AAR	3
Total	**21**